

# HOUSING FINANCE

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## AUDITED FINANCIAL STATEMENTS AND DISCLOSURES FOR THE YEAR ENDED 31 DECEMBER 2008

### BALANCE SHEET

#### A. ASSETS

|                                                              |                   |                   |                   |                   |
|--------------------------------------------------------------|-------------------|-------------------|-------------------|-------------------|
| 1 Cash                                                       | 113,321           | 116,604           | 113,318           | 116,564           |
| 2 Balances due from Central Bank of Kenya                    | -                 | -                 | -                 | -                 |
| 3 Government securities                                      | 478,594           | 478,590           | 478,594           | 478,590           |
| 4 Foreign Currency Treasury bills and bonds                  | -                 | -                 | -                 | -                 |
| 5 Deposits and balances due from banking institutions        | 2,659,178         | 1,344,578         | 2,659,165         | 1,344,578         |
| 6 Deposits and balances due from banking institutions abroad | -                 | -                 | -                 | -                 |
| 7 Government and other securities held for dealing purposes  | -                 | -                 | -                 | -                 |
| 8 Tax recoverable                                            | 15,615            | 3,656             | -                 | -                 |
| 9 Loans and advances to customers (net)                      | 10,418,665        | 7,746,060         | 10,418,665        | 7,746,060         |
| 10 Investment securities                                     | -                 | -                 | -                 | -                 |
| 11 Balances due from group companies                         | -                 | -                 | -                 | -                 |
| 12 Investment in associates                                  | -                 | -                 | -                 | -                 |
| 13 Investment in subsidiary companies                        | -                 | -                 | 130,020           | 130,020           |
| 14 Investment in Joint ventures                              | -                 | -                 | -                 | -                 |
| 15 Investment properties                                     | -                 | -                 | -                 | -                 |
| 16 Property and equipment                                    | 349,856           | 363,742           | 343,630           | 357,440           |
| 17 Prepaid operating lease rentals                           | 49,900            | 50,545            | 42,632            | 43,094            |
| 18 Intangible assets                                         | 9,620             | 30,691            | 9,550             | 30,601            |
| 19 Deferred tax asset                                        | 65,022            | 62,277            | 11,804            | 9,670             |
| 20 Retirement benefit asset                                  | -                 | -                 | -                 | -                 |
| 21 Other assets                                              | 134,597           | 172,512           | 123,118           | 157,923           |
| <b>22 TOTAL ASSETS</b>                                       | <b>14,294,368</b> | <b>10,369,255</b> | <b>14,330,496</b> | <b>10,414,540</b> |

#### B. LIABILITIES

|                                                              |                   |                  |                   |                  |
|--------------------------------------------------------------|-------------------|------------------|-------------------|------------------|
| 23 Balances due to Central Bank of Kenya                     | -                 | -                | -                 | -                |
| 24 Customer deposits                                         | 10,063,830        | 8,776,826        | 10,088,797        | 8,787,945        |
| 25 Deposits and balances due to local banking institutions   | -                 | -                | -                 | -                |
| 26 Deposits and balances due to foreign banking institutions | -                 | -                | -                 | -                |
| 27 Other money market deposits                               | -                 | -                | -                 | -                |
| 28 Borrowed funds                                            | 400,000           | -                | 400,000           | -                |
| 29 Balances due to group companies                           | -                 | -                | 20,997            | 19,655           |
| 30 Tax payable                                               | -                 | -                | 4,995             | 17,379           |
| 31 Dividends payable                                         | -                 | -                | -                 | -                |
| 32 Deferred tax liability                                    | -                 | -                | -                 | -                |
| 33 Retirement benefit liability                              | -                 | -                | -                 | -                |
| 34 Other liabilities                                         | 178,122           | 146,158          | 154,401           | 129,593          |
| <b>35 TOTAL LIABILITIES</b>                                  | <b>10,641,952</b> | <b>8,922,984</b> | <b>10,669,190</b> | <b>8,954,572</b> |

#### C. SHAREHOLDERS' FUNDS

|                                     |                  |                  |                  |                  |
|-------------------------------------|------------------|------------------|------------------|------------------|
| 36 Paid up capital                  | 1,150,000        | 575,000          | 1,150,000        | 575,000          |
| 37 Share premium                    | 1,549,173        | 25,705           | 1,549,173        | 25,705           |
| 38 Revaluation reserve              | 193,418          | 193,418          | 193,418          | 193,418          |
| 39 Retained earnings                | 125,141          | 168,162          | 138,838          | 138,838          |
| 40 Statutory Loan Loss Reserve      | 480,803          | 447,507          | 480,803          | 447,507          |
| 41 Proposed dividends               | 69,000           | 28,750           | 69,000           | 28,750           |
| 42 Capital grants                   | 50,750           | 50,750           | 50,750           | 50,750           |
| <b>43 TOTAL SHAREHOLDERS' FUNDS</b> | <b>3,652,416</b> | <b>1,446,271</b> | <b>3,661,306</b> | <b>1,459,968</b> |

#### 44 TOTAL LIABILITIES AND SHAREHOLDERS' FUNDS

|  |                   |                   |                   |                   |
|--|-------------------|-------------------|-------------------|-------------------|
|  | <b>14,294,368</b> | <b>10,369,255</b> | <b>14,330,496</b> | <b>10,414,540</b> |
|--|-------------------|-------------------|-------------------|-------------------|

### INCOME STATEMENT

#### 1 INTEREST INCOME

|                                                       |                  |                |                  |                |
|-------------------------------------------------------|------------------|----------------|------------------|----------------|
| 1.1 Loans and advances                                | 1,085,605        | 857,587        | 1,085,605        | 857,587        |
| 1.2 Government Securities                             | 31,733           | 38,661         | 31,733           | 38,661         |
| 1.3 Deposits and Placements with banking institutions | 202,070          | 84,341         | 201,938          | 84,262         |
| 1.4 Other interest income                             | -                | -              | -                | -              |
| <b>1.5 Total Interest income</b>                      | <b>1,319,408</b> | <b>980,589</b> | <b>1,319,276</b> | <b>980,510</b> |

#### 2 INTEREST EXPENSES

|                                                       |                |                |                |                |
|-------------------------------------------------------|----------------|----------------|----------------|----------------|
| 2.1 Customers' Deposits                               | 439,862        | 292,941        | 439,862        | 292,941        |
| 2.2 Deposits and placements from banking institutions | -              | -              | -              | -              |
| 2.3 Other interest expenses                           | 48,828         | 4,187          | 48,828         | 4,187          |
| <b>2.4 Total Interest expenses</b>                    | <b>488,690</b> | <b>297,128</b> | <b>488,690</b> | <b>297,128</b> |

#### 3 NET INTEREST INCOME

|                                                |                |                |                |                |
|------------------------------------------------|----------------|----------------|----------------|----------------|
| <b>4 OTHER OPERATING INCOME</b>                | <b>830,718</b> | <b>683,461</b> | <b>830,586</b> | <b>683,382</b> |
| 4.1 Fees and commissions on loans and advances | 74,991         | 57,527         | 74,991         | 57,527         |
| 4.2 Other fees and commissions                 | 92,380         | 13,432         | 73,941         | 13,432         |
| 4.3 Foreign exchange trading income            | -              | -              | -              | -              |
| 4.4 Dividend income                            | -              | -              | -              | 20,000         |
| 4.5 Other income                               | 46,253         | 106,077        | 45,484         | 99,020         |
| <b>4.6 Total Non interest income</b>           | <b>213,624</b> | <b>177,036</b> | <b>194,416</b> | <b>189,979</b> |

#### 5 TOTAL OPERATING INCOME

|                                            |                  |                |                  |                |
|--------------------------------------------|------------------|----------------|------------------|----------------|
| <b>6 OPERATING EXPENSES</b>                | <b>1,044,342</b> | <b>860,497</b> | <b>1,025,002</b> | <b>873,361</b> |
| 6.1 Loan loss provision                    | 98,747           | 74,792         | 98,747           | 74,792         |
| 6.2 Staff costs                            | 393,747          | 365,633        | 385,998          | 363,430        |
| 6.3 Directors emoluments                   | 30,669           | 25,285         | 30,669           | 25,285         |
| 6.4 Rental charges                         | 11,494           | 8,334          | 11,494           | 8,334          |
| 6.5 Depreciation on property and equipment | 33,222           | 27,302         | 33,147           | 27,228         |
| 6.6 Amortisation charges                   | 21,977           | 22,522         | 21,774           | 22,334         |
| 6.7 Other operating expenses               | 251,816          | 223,232        | 247,367          | 221,235        |
| <b>6.8 Total Other Operating Expenses</b>  | <b>841,672</b>   | <b>747,100</b> | <b>829,196</b>   | <b>742,638</b> |

#### 7 Profit before tax and exceptional items

|                                                        |                |                |                |                |
|--------------------------------------------------------|----------------|----------------|----------------|----------------|
| 8 Exceptional items                                    | 202,670        | 113,397        | 195,806        | 130,723        |
| <b>9 Profit before tax but after exceptional items</b> | <b>202,670</b> | <b>113,397</b> | <b>195,806</b> | <b>130,723</b> |
| 10 Current tax                                         | (68,989)       | (59,799)       | (66,320)       | (58,318)       |
| 11 Deferred Tax                                        | 2,746          | 19,910         | 2,134          | 19,887         |
| <b>12 Profit After Tax and exceptional items</b>       | <b>136,427</b> | <b>73,508</b>  | <b>131,620</b> | <b>92,292</b>  |

### DISCLOSURES

#### 1 Non-Performing Loans and Advances

|                                                      |                |                  |                |                  |
|------------------------------------------------------|----------------|------------------|----------------|------------------|
| a) Gross non-performing loans and advances           | 2,096,801      | 2,624,886        | 2,096,801      | 2,624,886        |
| b) Less: Interest in Suspense                        | 894,898        | 1,180,157        | 894,898        | 1,180,157        |
| c) Total non-Performing loans and advances (a-b)     | 1,201,903      | 1,444,729        | 1,201,903      | 1,444,729        |
| d) Less: Loan loss provisions                        | 376,079        | 408,903          | 376,079        | 408,903          |
| <b>e) Net non-performing loans and advances(c-d)</b> | <b>825,824</b> | <b>1,035,826</b> | <b>825,824</b> | <b>1,035,826</b> |
| f) Discounted value of securities                    | 825,824        | 1,035,826        | 825,824        | 1,035,826        |
| <b>g) Net Exposure(e-f)</b>                          | <b>-</b>       | <b>-</b>         | <b>-</b>       | <b>-</b>         |

#### 2 Insider loans and advances

|                                            |                |                |                |                |
|--------------------------------------------|----------------|----------------|----------------|----------------|
| a) Directors, shareholders and associates  | -              | -              | -              | -              |
| b) Employees                               | 229,891        | 255,195        | 229,891        | 255,195        |
| <b>c) Total insider Loans and Advances</b> | <b>229,891</b> | <b>255,195</b> | <b>229,891</b> | <b>255,195</b> |

#### 3 Off-Balance Sheet items

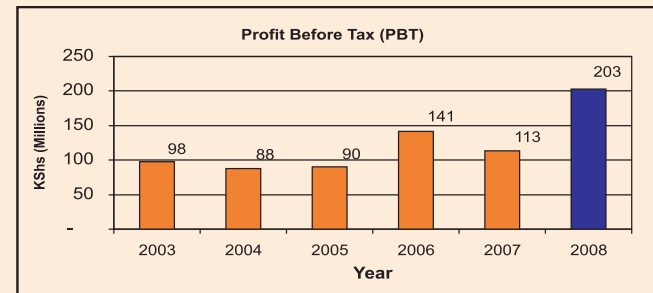
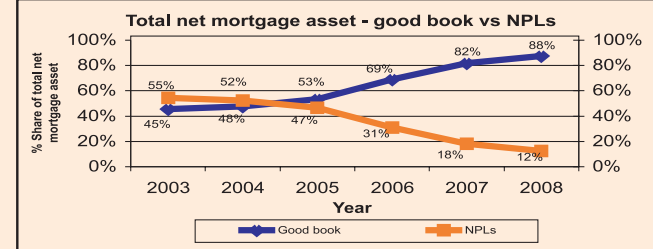
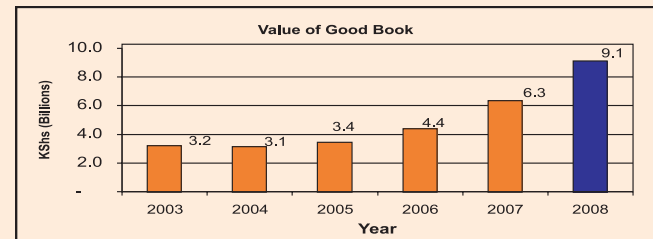
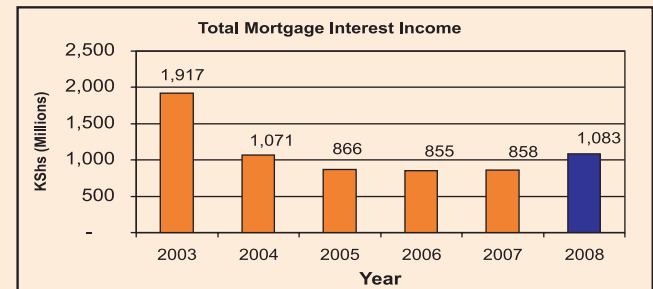
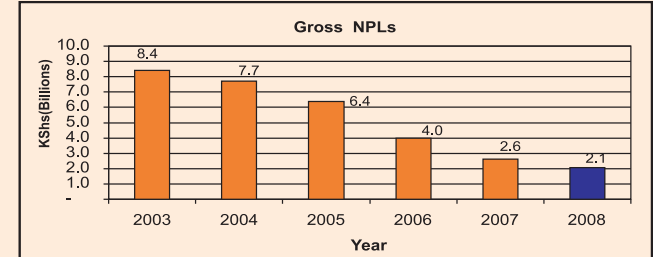
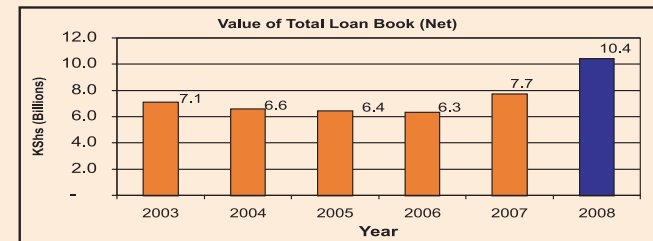
|                                                  |              |              |              |              |
|--------------------------------------------------|--------------|--------------|--------------|--------------|
| a) Letters of credit, guarantees and acceptances | 5,733        | 6,686        | 5,733        | 6,686        |
| b) Other contingent liabilities                  | -            | -            | -            | -            |
| <b>c) Total contingent liabilities</b>           | <b>5,733</b> | <b>6,686</b> | <b>5,733</b> | <b>6,686</b> |

#### 4 Capital Strength

|                                              |          |          |                  |                |
|----------------------------------------------|----------|----------|------------------|----------------|
| a) Core capital                              | -        | -        | 2,867,335        | 739,543        |
| b) Minimum Statutory Capital                 | -        | -        | 250,000          | 250,000        |
| c) Excess/Deficiency                         | -        | -        | 2,617,335        | 489,543        |
| d) Supplementary capital                     | -        | -        | 187,564          | 169,584        |
| <b>e) Total capital (a+d)</b>                | <b>-</b> | <b>-</b> | <b>3,054,899</b> | <b>909,127</b> |
| f) Total risk weighted assets                | -        | -        | 7,076,724        | 5,638,324      |
| g) Core capital /Total deposit liabilities   | -        | -        | 28.42%           | 8.42%          |
| h) Minimum Statutory Ratio                   | -        | -        | 8.00%            | 8.00%          |
| i) Excess/Deficiency                         | -        | -        | 20.42%           | 0.42%          |
| j) Core capital /Total risk weighted assets  | -        | -        | 40.52%           | 13.12%         |
| k) Minimum Statutory Ratio                   | -        | -        | 8.00%            | 8.00%          |
| l) Excess/Deficiency (j-k)                   | -        | -        | 32.52%           | 5.12%          |
| m) Total capital /Total risk weighted assets | -        | -        | 43.17%           | 16.12%         |
| n) Minimum Statutory Ratio                   | -        | -        | 12.00%           | 12.00%         |
| o) Excess/Deficiency (m-n)                   | -        | -        | 31.17%           | 4.12%          |

#### 5 Liquidity

|                             |   |   |        |        |
|-----------------------------|---|---|--------|--------|
| a) Liquidity Ratio          | - | - | 30.40% | 20.00% |
| b) Minimum Statutory Ratio  | - | - | 20.00% | 20.00% |
| c) Excess(Deficiency) (a-b) | - | - | 10.40% | 0.00%  |



#### ANNUAL GENERAL MEETING

The 43<sup>rd</sup> Annual General Meeting of the shareholders of Housing Finance Company of Kenya Ltd will be held at the Bomas of Kenya on Wednesday, 29<sup>th</sup> April 2009 at 11.00am.

#### DIVIDEND

The Directors have resolved to recommend to members at the forthcoming 43<sup>rd</sup> Annual General Meeting a First and Final dividend for the year 2008 of KShs. 0.30 per share to be paid on or about 30<sup>th</sup> June 2009 to shareholders registered at the close of business on 28<sup>th</sup> May 2009. The register of members will be closed for one day on 29<sup>th</sup> May 2009 for the purpose of processing the dividend.

#### MESSAGE FROM DIRECTORS

The above Balance Sheet and Profit and Loss Account are extracts from the Group's financial statements which have been audited by KPMG and received an unqualified opinion. A full set of the published financial statements will be available at our offices and can be viewed by any interested persons after approval by members at the Annual General Meeting.

The financial statements were approved by the Board of Directors on 3<sup>rd</sup> March 2009 and were signed on its behalf by:

Kung'u Gatabaki - Chairman  
David R Ansell - Director  
Frank Ireri - Managing Director